

Ethical Analysis: Submission 1

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9/12/2026

Step 1: Choose a Recent Ethical Issue in Marketing

Ethical Issue: Algorithmic bias in digital advertising

Specific Case: Meta/Facebook's algorithmic delivery of housing advertisements

Why it matters: Within today's society, Artificial intelligence and algorithms have been increasingly used in advertising to help determine which consumers happen to see particular advertisements. Although these systems happen to make advertising more efficient and personalized, these systems also produce biased outcomes which affect certain groups differently. This then becomes vividly important when advertising involves opportunities involving things like housing, employment, or financial services.

Ethical Issue:

My marketing ethics issue is **algorithmic bias in digital advertising**, to be specific the use of algorithms being able to determine which consumers happen to receive housing advertisements on Meta's platforms. This issue became the subject of a case involving Meta Platforms, widely known as Facebook, as well as the U.S. Department of Justice. In June of 2022, the Department of Justice filed a lawsuit that alleged Meta's housing advertising system could discriminate against Facebook users based on their protected characteristics under the Fair Housing Act, which included race, color, sex, religion, disability, familial status, as well as national origin. The DOJ alleged that Meta used algorithms as well as user information to determine which users actually would receive housing advertisements. (U.S. Department of Justice, 2022)

This case then resulted in a settlement that required Meta to make changes to its housing advertising system. As part of their settlement, Meta agreed to stop using its Special Ad Audience tool for its housing advertisements as well as develop a new system to address racial and other disparities in the delivery of housing ads. This settlement had also included independent review as well as court oversight of Meta's changes. (U.S. Department of Justice, 2023)

The case is part of a larger concern involving the use of artificial intelligence and algorithmic decision-making in housing. An article from 2024 by the University of Chicago's Kreisman Initiative for Housing Law & Policy explains that algorithms used in housing can encode historical and systemic biases. This can potentially create additional barriers for the groups that have already experienced discrimination. This article specifically identifies Facebook's housing algorithm as an example of how targeted advertising can contribute to discriminatory outcomes. (University of Chicago, Kreisman Initiative for Housing Law & Policy, 2024)

The issue also directly relates to broader concerns about AI in advertising. Forbes Technology Council has explained that advertising algorithms can process large amounts of consumer data to help determine whom to target and how advertisements are then delivered. These systems can unintentionally reproduce biases being found in the data used to develop them or in the decisions made by the people who create the models. This article identified topics concerning transparency, diverse data, regular auditing, as well as bias-mitigation methods as ways these companies can reduce these risks. (Popov, 2024)

This issue presents ethical significance because algorithmic advertising can influence which consumers have access to given information as well as opportunities without those consumers necessarily even knowing how this decision was even made. Targeted advertising can provide potential benefits by helping companies reach consumers more efficiently as well as can show consumers advertisements which may be more relevant to them. However, on the flip side, the same technology can create ethical concerns when certain groups are less likely to receive advertisements because of how a given algorithm happens to make its decisions.

This concern is especially significant in this Meta case due to the fact that **housing is an important life opportunity rather than simply a consumer product**. If a system like an advertising system contributes to certain groups receiving fewer housing advertisements than others, consumers may receive unequal access to information about available housing. The University of Chicago article emphasized how housing is a basic necessity and that biased algorithmic decision-making can have serious consequences for people who happen to be already affected by inequalities in the housing market. (University of Chicago, Kreisman Initiative for Housing Law & Policy, 2024)

Main Stakeholders:

- **Main Stakeholders → consumers, advertisers, Meta, other advertising platforms, companies, regulators, civil rights organizations, and society.**
 - **Consumers** → Consumers may be affected if they do not receive the same opportunities/information as other consumers.
 - **Advertisers** → Advertisers use algorithmic advertising to help reach audiences efficiently but also advertisers may face ethical concerns if their advertisements are delivered in discriminatory ways.
 - **Meta and other platforms** → Meta and other platforms are responsible for developing, operating, and monitoring the algorithms being used to deliver these advertisements.
 - **Companies** → Companies can benefit from the efficiency and personalization of digital advertising but also companies have a responsibility to consider how their marketing practices may have an effect on consumers.
 - **Regulators and civil rights organizations** → Regulators and civil rights organizations have an interest in preventing discriminatory advertising as well as protecting consumers from unfair practices.
 - **Society** → Society gets affected by the broader impact of algorithms on equal access to important opportunities.

In conclusion, this ethical dilemma involves a conflict between the **efficiency and personalization of algorithmic advertising and the responsibility to provide fair and equal access to**

opportunities. The Meta housing-advertisements case demonstrated why marketers as well as advertising platforms need to carefully consider not only whether an advertising system is effective, but also whether the system can produce unfair or discriminatory outcomes for different groups of consumers. This is critical because as AI becomes more common in advertising, addressing bias through transparency, diverse data, auditing, as well as other safeguards is increasingly important. (Popov, 2024)

References

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